

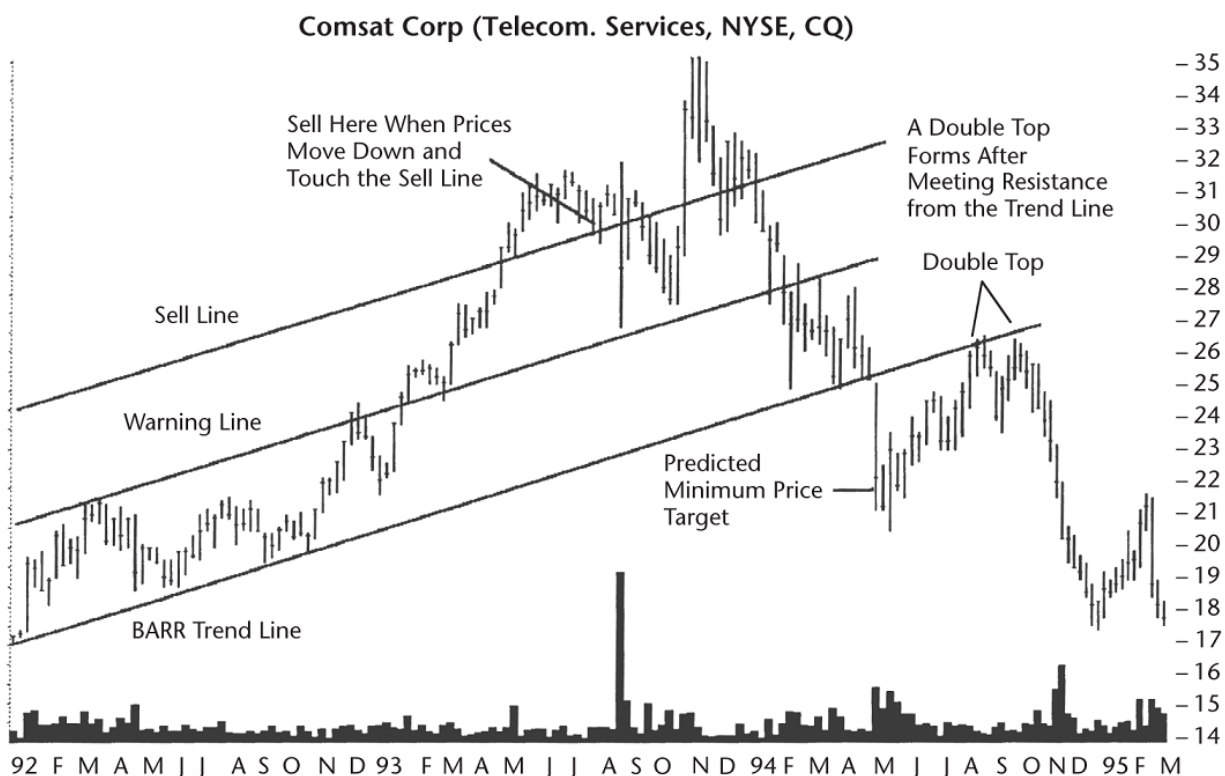


Figure 15.5 Shown is a bump-and-run reversal trendline and parallel warning and sell lines. There is plenty of time to take profit in this bump-and-run reversal. The stock reached a low of 17.50 in December, a 40% decline from the sell point in July. Also shown in the July-to-September period is a double top.

Another method is to calculate the lead-in height by splitting the formation along the trendline into four equal parts. In the first quarter of the BARR, compute the height from the highest high to the trendline, measured vertically (or use the tallest distance between the two). Subtract the result from where the trendline is pierced, heading down (the breakout). In [Figure 15.5](#), the lead-in height is 3.50 (that is, $21.50 - 18$). The target price is thus 21.63 ($25.13 - 3.50$), reached during the week of the breakout.

After the breakout, the stock rises back up to meet the trendline before resuming its decline (in this example). Since a trendline denotes a resistance area when approached from below, it is no surprise price turns away. Price forms a double top in the July-to-September period and plunges downward.

Once you have a target, convert the potential drop into a percentage of the current price and compare the results to [Table 15.3](#). For example, the drop